JailFood Restaurant

2025 Monthly Expense & Profitability Analysis

January – December 2025 · Full-year financial performance review

What This Report Covers

This report analyzes JailFood's full-year 2025 financials — monthly sales, expenses, and profit/loss — going beyond raw numbers to explain **why the business made or lost money**, where the biggest risks hide, and what changes could move it to consistent profitability.

01

Data Cleaning

Standardized headers, unified number formats, chronological ordering

02

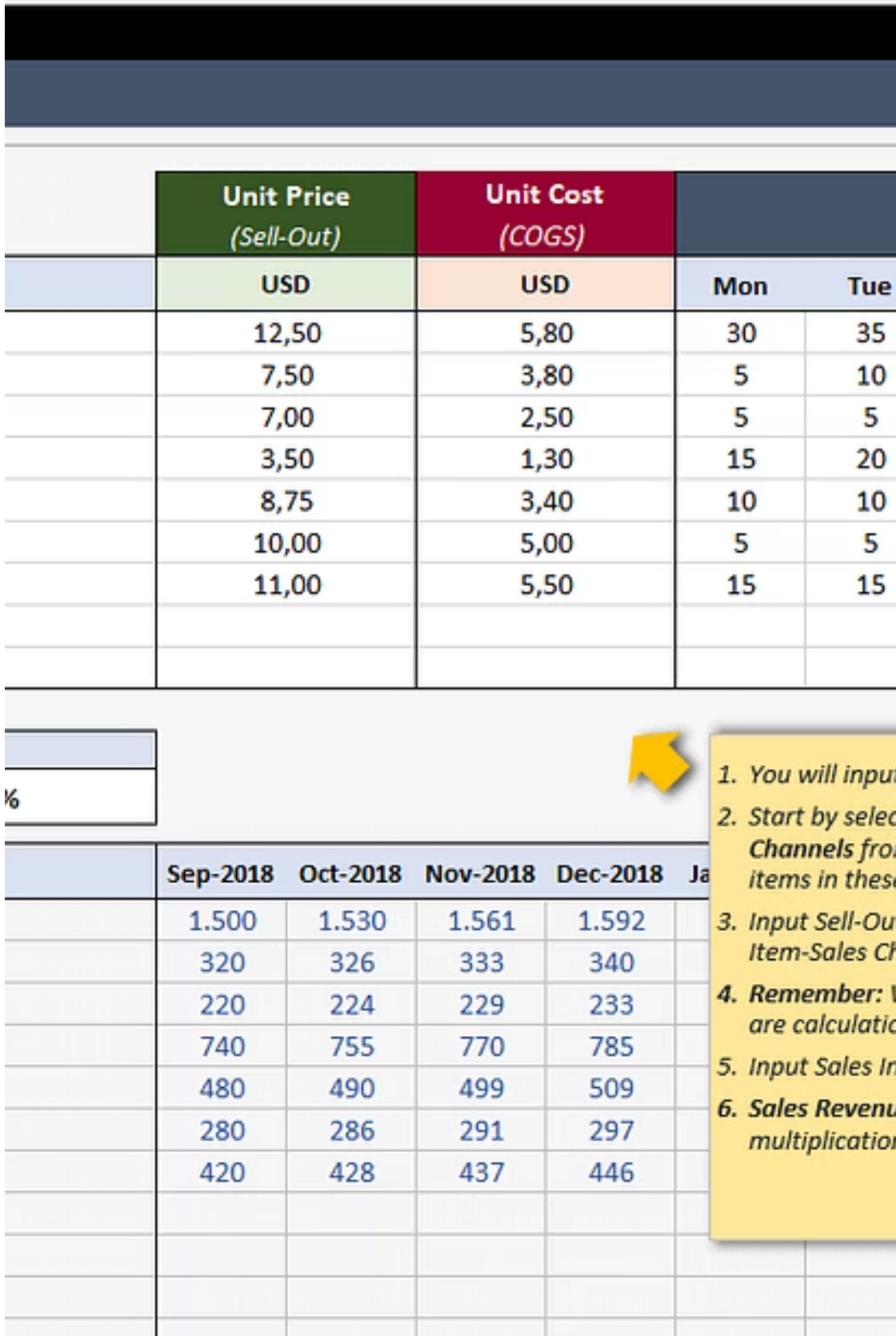
Loss Drivers

Delivery commissions, stock volatility, fixed-cost burden

03

Action Plan

Five prioritized changes to reach structural profitability



Year-at-a-Glance: 2025 Financials

₹3.4M

Total Sales

Across 12 months

₹4.5M

Total Expenses

Full-year operating costs

-₹331K

Net Loss

Average margin: -7.8%

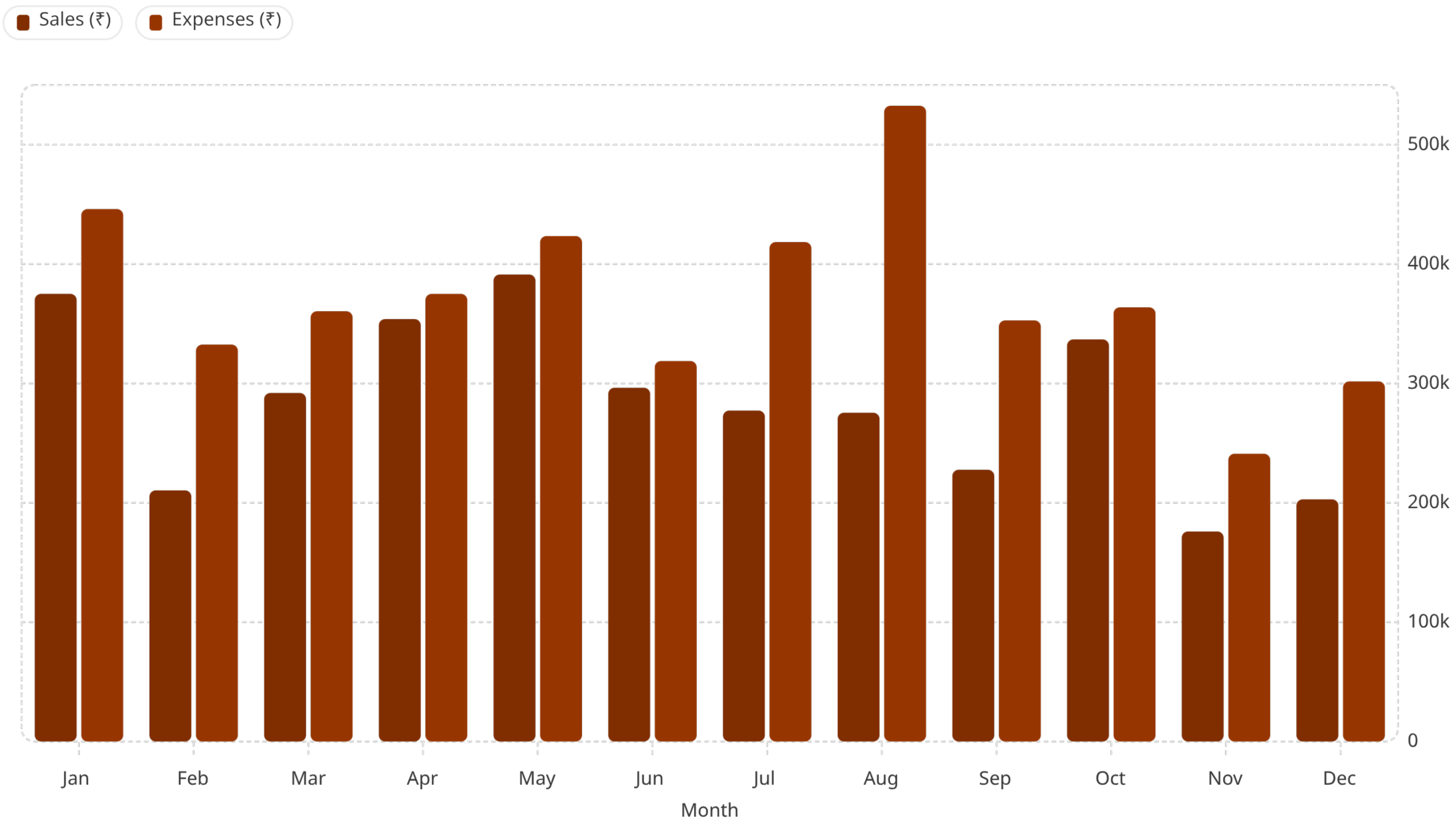
4/12

Profitable Months

April, May, June, October

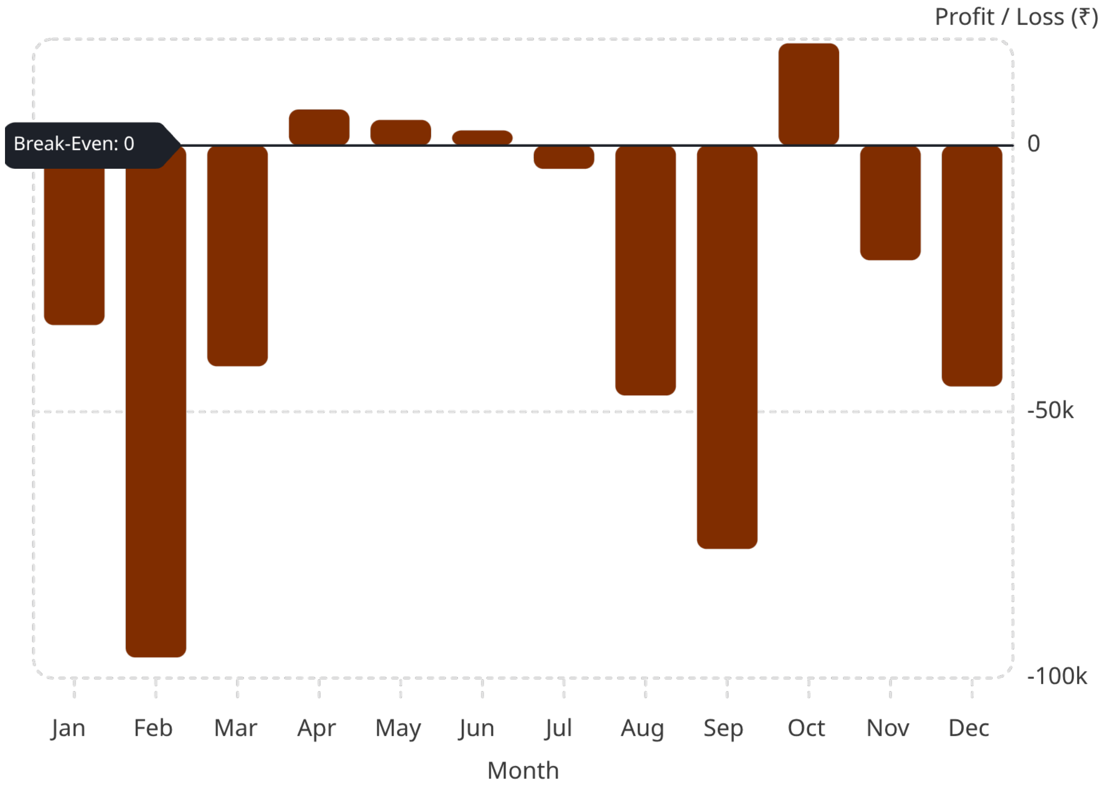
Only Q2 (April–June) was net profitable at **₹14,432**. Q1 was the weakest quarter at **–₹171,288**, driven by February. Q3 lost **–₹127,053** and Q4 lost **–₹47,587**.

Monthly Sales vs. Expenses



Expenses consistently outpaced sales across most months. The worst gap occurred in August, where expenses reached ₹532,619 against ₹275,429 in sales.

Monthly Profit & Loss Performance



Key Takeaways

- **Best month:** October (+₹19,198, +5.3% margin)
- **Worst month:** February (−₹96,129, −28.9% margin)
- 8 of 12 months were loss-making
- Q2 was the only net-profitable quarter (+₹14,432)

The Swiggy Commission Spike

The single largest anomaly in the dataset. Swiggy commissions jumped from a typical ₹13K–₹23K to ₹119,593 in July (43% of sales) and ₹190,054 in August (69% of sales) — versus a normal 3–8%.

INR 309,647

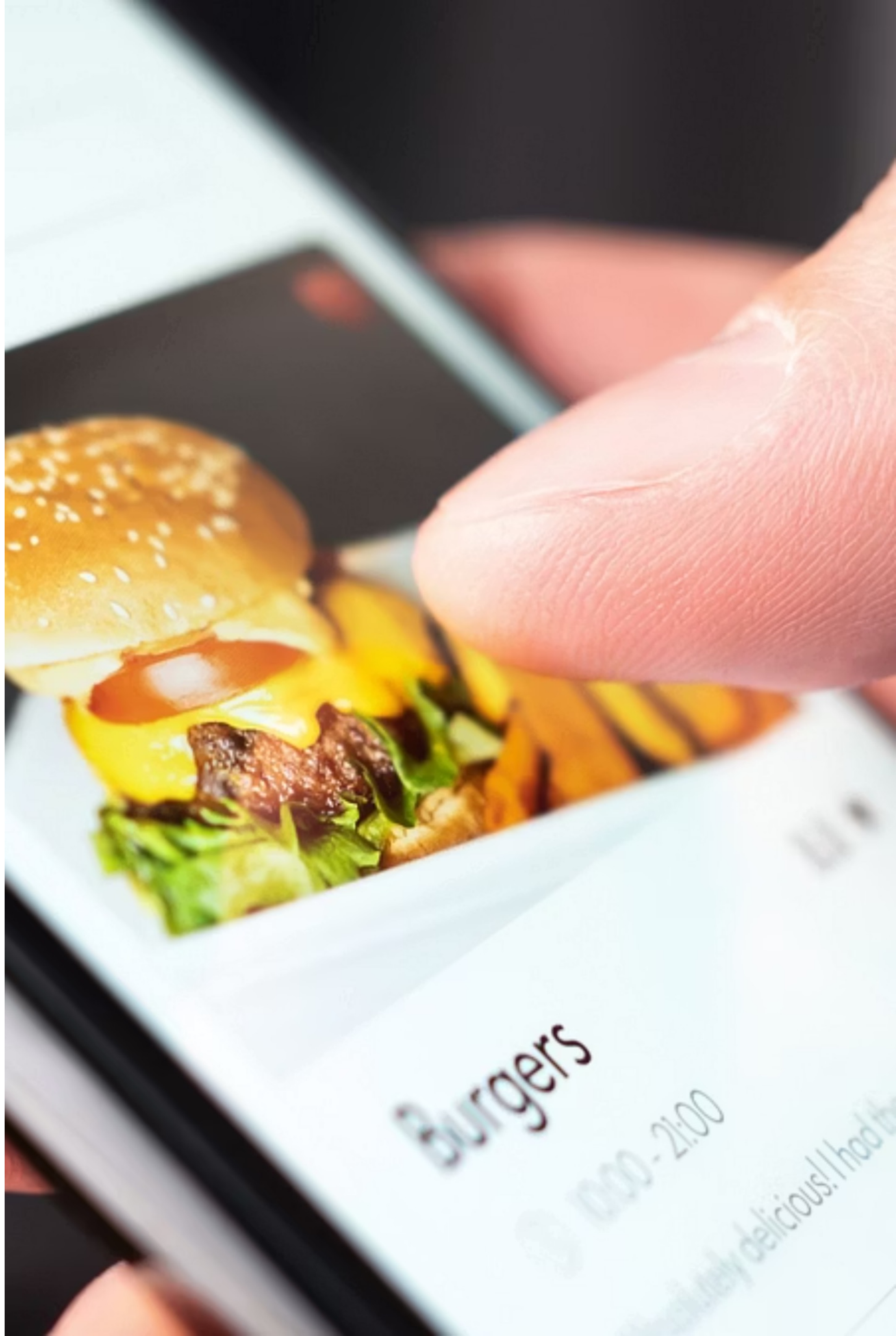
Swiggy commission in July–August alone

>50% of Net Loss

These two months account for more than half the year's ₹331K loss

Action Required

Review payout statements, renegotiate tier, or reduce platform reliance



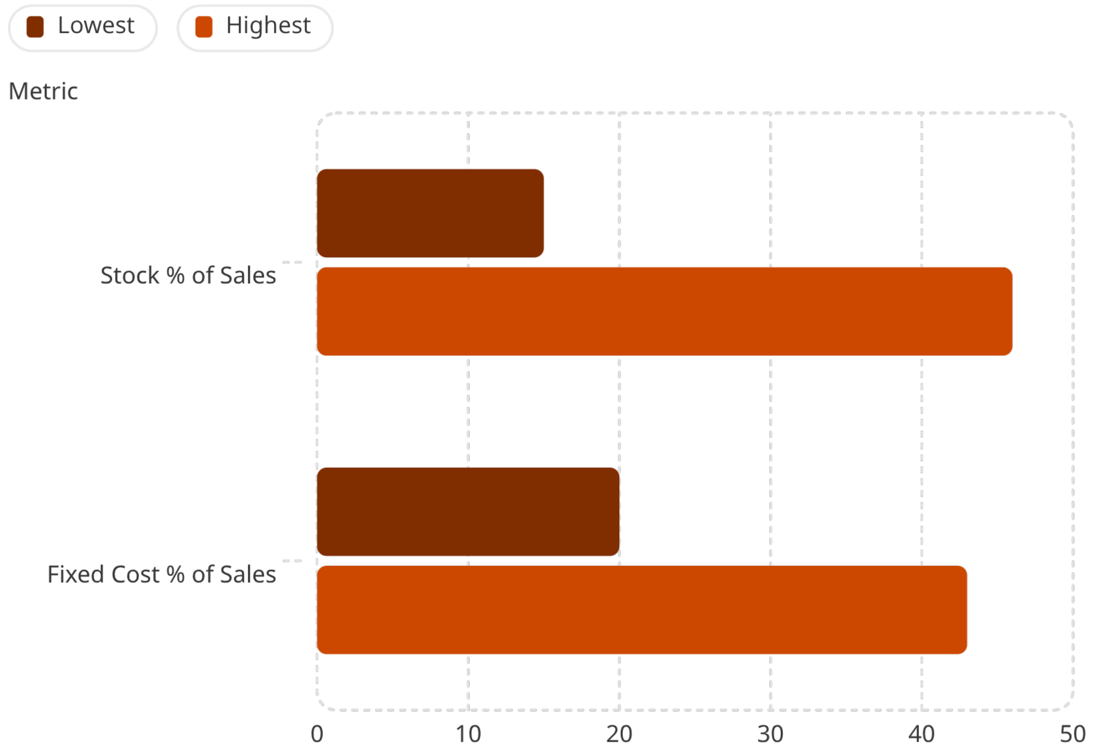
Stock Cost & Fixed-Cost Burden

Stock Cost Volatility

Stock as % of sales ranged from **15%** (November) to **46%** (August), averaging ~27%. Months above ~30% were always loss-making, pointing to over-ordering or waste.

Fixed-Cost Trap

Rent & salaries (₹67K–₹106K/month) don't flex with sales. In February — the lowest-sales month — fixed costs consumed 43% of revenue. Same pattern in September (42.6%) and November (40.7%).



Seasonal Sales Weakness

Three Critical Low Months

- **November** — ₹175,922 (lowest of the year)
- **February** — ₹210,370
- **December** — ₹202,855

On a per-day basis, November and December also trail the rest of the year — confirming a **genuine seasonal slowdown**, not just fewer calendar days.

> These months need targeted promotions, not the same marketing spend as peak months.

Five Priority Recommendations

1	**Investigate Swiggy Spike** Review July–August payout statements; renegotiate commission tier
2	**Tighten Stock Ordering** Target 18–25% stock-to-sales ratio; track waste weekly
3	**Flex Fixed Costs** Adjust staffing seasonally for Feb, Nov, Dec slowdowns
4	**Low-Season Promotions** Plan targeted offers for the three weakest sales months
5	**Weekly Platform Alerts** Flag any week where commission exceeds 15% of platform sales

Strategic Path to Profitability

Protect the Q2 Playbook

April–June were the only profitable stretch, with lower stock and commission ratios. Document and replicate this as the operating baseline.

Monthly P&L Checkpoints

The loss was concentrated in a few bad months — monthly reviews would catch problems early enough to course-correct.

Diversify Revenue

With platform commissions reaching 76%+ of sales in the worst month, grow dine-in and direct ordering to reduce single-point dependency.

The Realistic Target

Eliminating the Swiggy anomaly and tightening stock cost alone would have turned this year's **-₹331,496** loss into a small net profit — with zero change in sales volume. Target a **structural break-even**, not just cost-cutting.